(according to the then relevant rules). A public offer would have starved Tata Sons of finances to fund the urgently and critically needed modernization and expansion of its companies, says Subedar. Thereafter, the stakes were increased through the provision of ‘creeping acquisition’ (a method of increasing the stakes in a company in small increments over time, thereby avoiding the need to make the public offer). In 1997, the trigger for public offer was increased to 15 per cent.

Through these strategies, by the time Ratan completed just over one-third of his tenure as chairman in 1999, he had increased the group’s holding in most of the ‘key companies’ to around 20 per cent. However, it was short of his ‘confident level’ of ‘26 per cent’.

He persisted in his efforts to increase the stakes and, by 2001, the average direct holdings of Tata Sons in the nine listed Tata companies (excluding Investment Corporation of India Ltd) had increased to 13.83 per cent. In aggregation with the group companies, it had risen to 29.16 per cent. The growth in the holdings in the flagship companies during this period was even more remarkable. In TISCO, it increased to 26.21 per cent, in TELCO to 25.35 per cent, in Rallis India to 48.16 per cent and in Tata Chemicals to 30.01 per cent. In the process, Ratan gave Tata Sons the legal rights to manage its promoted companies. It was his most significant contribution to the group.